BURFORD CAPITAL LIMITED BUR

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by zbeex

			2025	2026
Price:	8.80	EPS	0	0
Shares Out. (in M):	223	P/E	0	0
Market Cap (in $M):	1,978	P/FCF	0	0
Net Debt (in $M):	1,333	EBIT	0	0
TEV (in $M):	3,311	TEV/EBIT	0	0

Description

Burford Capital (NYSE: BUR) + Petersen Units
Price targets at entry: BUR $9/share; Petersen Units $3/unit
Recommendation: Long both BUR and the Petersen Units

Executive Summary: Idiosyncratic, uncorrelated, highly asymmetric opportunity with potential for +3x returns and strong margin of safety.

- While Burford has been written up extensively on VIC, we post this write-up to highlight the asymmetry today due to the recent price action. The thesis is simple: At ~$9.00/share, Burford trades at a single-digit P/E on normalized earnings, despite a 15-year track record of mid-20's IRRs, compounding book value per share at nearly 20% over the past decade, $5bn of expected proceeds from its current case portfolio (ex-YPF), with free optionality from several large cases, including the meatpacking price-fixing cases, as well as, the focus of this write-up, **the $16.1bn 2023 Southern District of New York ("SDNY") judgment against Argentina ("YPF"), which, based on our and our litigation counsel's analysis, we believe (with > 80% probability) will be imminently affirmed in the Second Circuit Court of Appeals in the coming quarters** (further detailed analysis below).

Company Background:

- To summarize, Burford is the global leader in litigation finance, with $1.8bn of balance sheet deployments, definitive case commitments for another $1.2bn, and a third-party asset-management (AM) platform (AUM of $2.9bn). Returns from funding high-quality lawsuits with solid collection prospects are uncorrelated and have historically been strong (Burford has consistently generated mid-20s IRR over past 15 years), and thus Burford has compounded its book value per share at nearly 20% over the past decade.
- Burford enjoys numerous economic "moats": i) scale (i.e. Burford is significantly larger than peers, and financial resources beget larger deals, with fewer competitors, driving higher return cases, and lucrative "families" of cases, importantly all while maintaining appropriate diversification with several hundred individual litigation finance assets), ii) reputation & relationships (i.e. litigation finance is an inefficient market in which confidentiality / opacity drive price inelasticity, and Burford is the on the short list of firms who see most deals); and, iii) BUR has the deepest data set (i.e. virtuous cycle of improvements in multi-variate probabilistic model drives better case selection, more competitive offering, higher returns à more assets over time). Additionally, this business offers inherent upside asymmetry as some subset of cases end up as multi-baggers (e.g. Teinver case cost $13m and resulted in proceeds to BUR of $107m).
- Incentives are aligned, as management -- co-founders Chris Bogart (CEO) and Jon Molot (CIO), along with other insiders -- own 9% of the company.

Thesis: Compelling sum-of-the-parts valuation with Burford's core business trading near liquidation value plus "free" upside asymmetry from the YPF and meatpacking cases.

Historical Context of YPF Lawsuit:

- In June 1993, Argentina privatized YPF S.A., an Argentinian energy company, by listing its ADRs on the NYSE. Given Argentina's checkered history in the international capital markets, US investors demanded specific contractual by-laws to expressly protect shareholders in the event of expropriation. Specifically, in the event of renationalization, Argentina and YPF would be required to conduct a tender offer for minority shareholders based on a clear, formula-derived valuation methodology: the product of trailing earnings and the highest P/E multiple over the trailing two years prior to the announcement of expropriation.
- In 2012, the Argentine government, then led by Peronist President Cristina Fernandez de Kirchner, expropriated a 51% YPF stake from majority shareholder Repsol S.A., a Spanish energy company. As feared, Argentina failed to abide by its contractual obligation to remunerate shareholders as specified in the by-laws. Following the announcement of the imminent expropriation, YPF's share price cratered and Repsol, Petersen Group (a Spanish firm that had acquired 25.5% of YPF for $3.5bn from 2008 to 2011, partially financed through a syndicated bank facility), and numerous other minority shareholders, including New York-based hedge fund Eton Park, were severely damaged, setting off various legal challenges.
- Shortly after the seizure, Repsol sued Argentina in US Federal Court and filed a case with the World Bank's International Center for Settlement of Investment Disputes for over $10bn in damages. In 2014, Repsol agreed to a $5bn settlement from Argentina. Petersen, however, was forced into insolvency proceedings in Spain after defaulting on its loan obligations. In early 2015, Burford Capital was appointed to provide litigation financing necessary to pursue the case against Argentina and YPF in exchange for 70% of eventual proceeds, with the balance due to the Petersen estate.

YPF Case Today:

- After a decade of extensive litigation involving the Southern District of New York, the Second Circuit, and the Supreme Court – with all major rulings, thus far, in Petersen and Burford's favor – the case is nearing resolution. In March 2023, Judge Loretta Preska (Republican appointed judge in SDNY) found Argentina liable, and after a bench trial in July 2023, she entered a judgement for $16.1bn in compensatory damages and pre-judgement interest. We had high conviction around this decision as every conceivable argument and counterargument had been ruled on in prior proceedings (e.g. jurisdiction, applicability of Argentine law, expropriation as sovereign act, interpretation of the by-laws as a binding contractual commitment).
- Argentina then appealed the judgement in the Second Circuit; the plaintiffs appealed the dismissal of YPF and YPF conditionally cross-appealed. The Second Circuit then held oral arguments on October 29th, 2025, before a three-judge panel, which included Judge Robinson, Judge Cabranes, and Judge Chin. As a reminder, Judge Chin previously wrote the 2018 opinion that ruled against Argentina's prior attempts at dismissal.
- Based on our and our litigator's analysis, **we estimate a greater than 80% probability that Preska's rulings are affirmed**, because: 1) the legal merits are exceptionally strong, and Preska has an impeccable record with decisions rarely appealed (her trailing 10-year appeal rate is 4.63%); in this case, she soundly interpreted the law, carefully crafting her opinions to avoid appeal); 2) in 2018, the Second Circuit previously addressed, directly or indirectly, jurisdiction and breach of contract (under Judge Chin); 3) The standard of review for Preska's jurisdiction rulings (Forum Non Conveniens, and Comity), as well as the damages calculation, is abuse of discretion, an exceedingly high bar for reversal that happens extremely infrequently. Also, the judges would only reach the abuse of discretion analysis after showing substantial prejudice (which is absent here, as Argentine parties and expert witnesses attended depositions and the bench trial in New York without issue). 4) dismissal on Forum Non Conveniens grounds at this late stage is virtually unprecedented (Argentina's counsel was only able to cite a single instance that occurred 38 years ago in the Fifth Circuit, in which a Peruvian sailor died on a Peruvian Ship while docked in Texas at the time; the YPF lawsuit obviously bears no resemblance, with a clear nexus in New York); and 5) in totality, only 6.28% of SDNY's decisions are reversed. **See "Legal Appendix" for detailed analysis.**

Meatpacking Cases:

- Burford has invested over $100m in anti-trust lawsuits against the largest meat processors in the United States, who are alleged to have colluded to fix prices. The meat processing industry (across the four primary lawsuits: beef, chicken, pork, and turkey) is gargantuan—annually the defendants process nearly 20bn pounds of beef, 30bn pounds of chicken, 16bn pounds of pork, and 7bn pounds of turkey. In terms of sales, we estimate that beef, chicken, pork, and turkey wholesale revenue domestically is ~$90bn-125bn per year. The collusion was alleged to have occurred for 8-12 years, depending on the case. I believe Sysco accounts for 10-15% of the ~$100bn in purchases annually. And the alleged collusion resulted in overcharging of 10-25%, depending on the case. Also, with Sherman Antitrust lawsuits, there is potential to apply for a trebling of damages.
    - Beef Case: Defendants sell 20bn lbs of beef to the US market annually, so roughly $40-60bn. Collusion alleged to have occurred between 2015 through at least mid-

2022. It is estimated that plaintiffs were overcharged by 10-25%.
  - Chicken Case: Defendants sell approximately $30-40bn per year of chicken. Collusion alleged to have occurred between as early as 2008 through at least as late as 2019. It is estimated that plaintiffs were overcharged by 10-22%.
  - Pork Case: $15-20bn of annual wholesale revenues. Collusion alleged to have occurred between as early as 2009 through 2018. Since 2009, "Sysco purchased hundreds of millions of pork at artificially inflated prices directly from various Defendants, and suffered injury…" It is estimated that plaintiffs were overcharged by 10-25%.
  - Turkey Case: $3-5bn of annual wholesale revenues. Collusion alleged to have occurred between 2008 through 2016. It is estimated that plaintiffs were overcharged by 10-25%.
- Using the low-end of these aforementioned ranges: $90bn/yr x 8 years x 10% Sysco's portion of overall industry damages x 10% overcharging x 70% (BUR's entitlement) = $5bn in damages ($23/sh in BUR). With trebling for Sherman Anti-Trust, this is $15bn ($69/sh in BUR). This massive damages number assumes all cases go to trial and win, so for conservatism, we haircut by 90%, potentially resulting in $7/share of value to Burford.

Valuation:

- EV: $2.0bn market cap, $1.3bn net debt, equates to EV of $3.3bn USD. We value the business two ways: i) normalized EPS; and ii) scenario modeling of cash flows generated by the portfolio.
- **Normalized EPS:** the rationale here is simple—the episodic nature of case resolutions results in noisy quarterly cadence, and the COVID-induced court backlog has masked the underlying earnings power of the core business in recent years. Thankfully, the backlog in civil cases at the federal level appears to be clearing, and cash realizations have been steadily recovering. During the investor day in early April, management laid out a path to double its deployed capital by 2030 and achieve greater than 20% return on equity. Based on their outlined 23-26% IRR on capital provisions (and consistent with their track record), with zero growth assumed, Burford's normalized EPS exceeds $1/share, implying 7-8x P/E for the leading litigation funder globally.
- **Bear Case: Today the stock trades near a draconian liquidation scenario** whereby Burford never invests in another case again, winds down the business, and loses both the YPF and meatpacking cases in full. In this scenario, current cases portfolio alone will result in $5.3bn of proceeds over time (1.8x MOIC on $2.7bn of deployments), $400m from asset management incentive fees, and four years of winddown OpEx, LTIC, interest, taxes, less gross debt = $9/share.
- **Base Case**: in a more realistic going concern scenario, we conservatively assume a reduced 20% IRR on redeployment of the company's +$5bn expected proceeds from current cases alone, **the core business should be worth ~$16/share**, and with zero IRR assumed on redeployment of $400m asset management proceeds (per guidance), another ~$2/share of value. **That leaves the YPF/Petersen litigation as a "free kicker"** that, at accrued face value today, is worth $7.2bn—yet is inexplicably being valued by the market at zero following the Second Circuit oral arguments. **In a 40% settlement scenario (based on 226 creditor recoveries in 50 countries involving sovereign defaults), Burford would receive ~$3bn of proceeds, or $13.50/sh.**
- Bull Case: if BUR ramps realization and deployments to +$1bn/yr, reinvests at 25% IRR (on par with track record), and trades at 2x P/B (on par with large asset management peers), the core business could be worth $33/share in four years.
- The Petersen Units, at $3/unit, offer pure exposure to the appellate process and settlement outcomes (upside of $10/unit under the same 40% of face, or 60% haircut, scenario), although obviously have binary risk to the case.

Normalized EPS (ex-YPF)		
	23% IRR	26% IRR
Income Statement		
Capital Provision Income	503.4	569.0
Asset Management Income	65.0	73.5
Total Revenues	568.4	642.6
OpEx (ex-LTIC)	115.8	115.8
Long Term Incentive Comp (LTIC)	55.4	62.6
Interest Expense (net)	124.9	124.9
Pre-Tax Income	272.3	339.2
Tax Expense	35.4	44.1
Net Income	236.9	295.1
EPS	$1.06	$1.32
P/E Ratio	8.3x	6.7x

Valuation - Scenario Summary			
	Bear	Base	Bull
Core Biz & AM	$9.14	$18.11	$34.83
YPF	-	$13.53	$13.53
Meatpacking	-	-	$6.78
Tot. Value/Share	$9.14	$31.64	$55.14
MOIC	1.0x	3.6x	6.2x
IRR (4-yr)	1%	37%	58%

Why the Opportunity Exists:

- Misunderstood appellate process and discourse among the judges during the Second Circuit Court of Appeals oral arguments last week. During the proceeding, Judge Chin stated, "putting aside the issue of the delay and the 10 years of litigation, it does have a feel like this should have been in Argentina", which triggered an intraday sell-off. Based on the dozens of oral arguments our litigator has attended, as well as the 2018 Second Circuit oral argument which Judge Chin oversaw, Judges tend to challenge core assumptions and arguments—this is normal course for these proceedings, and we believe the market deeply misinterpreted this statement. We also take comfort in the exceptionally low base rate of reversals for Judge Preska and the SDNY. See "Legal Appendix" for detailed analysis.
- The poor showing of President Javier Milei's La Libertad Avanza ("LLA") party in the provincial election of Buenos Aires in early September 2025 was erroneously viewed as a readthrough to LLA's national mid-term election potential, which led to weakening of Argentine Peso as well as a 20% sell-off in Burford's stock in September and October. The provincial results brought to focus the prospects of Milei losing momentum in his critical turnaround of the Argentine economy; but this was dispelled on 10/26 when Milei's LLA received over 40% of votes compared with 31% for the left-leaning Peronists.
- Lingering COVID-induced court backlog has masked underlying earnings power.
- Misunderstanding of legal-asset accounting.
- Collections and settlement prospects with Argentina are not well understood. Burford has one of the leading asset tracing and recovery teams globally. We believe there is potential, after the Second Circuit affirms, for Burford to apply pressure to bring Argentina to the negotiating table (easiest targets for harassment will be its large state-owned enterprises). President Milei has stated a willingness to resolve a final judgement, and he has discussed funding a settlement with a "Kicillof tax", named after the Deputy Economy Minister who helped Kirchner engineer the expropriation in 2012.

Catalyst(s): decision by the U.S. Court of Appeals for the Second Circuit in the YPF appeal

Legal Appendix

Executive Summary: we believe there is a greater than 80% chance that Judge Preska's SDNY rulings will be affirmed in the Second Circuit Court of Appeals. YPF dismissal and promissory estoppel are weaker arguments for plaintiffs but less relevant in totality.

Explanation of the different Standards of Review:

WHAT ARE THE DIFFERENT STANDARDS OF REVIEW?[2]

There are six basic standards of review which span a continuum of no deference to the lower court (de novo) to complete deference to the lower court (no review). The standard of review applied will generally be based on the type of ruling up on appeal and the decisionmaker below. The table below summarizes where the main standards of review fall on the deference continuum, and some of the areas where each standard of review may apply.[3] The sections that follow provide an overview of each standard.

Deference Continuum	No Deference	Minimal Deference	Some Deference	More Deference	More Deference	Complete Deference
Standard of Review	De novo	Clearly erroneous	Reasonableness/ Substantial Evidence	Arbitrary and capricious	Abuse of discretion	No review
When it Applies	Question of law	Question of fact	Jury decision Formal agency decision	Informal agency decision	Discretionary decision	Some agency actions Decision to not prosecute

Oral Argument Summary & Updated Analysis – October 2025

- Plain English Summary: Argentina made a promise to U.S. investors in 1993 and broke it in 2012. After 10 years of litigation, including a summary judgement and a bench trial in New York, Argentina lost. Now it's arguing the U.S. shouldn't have heard the case at all—but after years of fighting here, that ship has sailed. Every major appellate issue—jurisdiction, contract interpretation, and damages—leans strongly toward upholding the original judgment for the plaintiffs.
- There are four core areas of argument: 1) Jurisdiction (Forum Non Conveniens & International Comity); 2) Breach of Contract under Argentine Law; 3) Damages Calculation; and 4) YPF's Role.

1. **Jurisdiction**
   a. Forum Non Conveniens ("FNC") – Standard of Review is Abuse of Discretion.
      i. Argentina's argument: This case belongs in Argentina, not the U.S. The events, witnesses, and law are Argentine; the U.S. has little stake.
      ii. Plaintiffs' reply: Argentina already litigated in the U.S. for 10 years. Two FNC dismissal attempts (2016 & 2020) were given proper consideration & denied. Argentine officials were threatening Plaintiffs' counsel with criminal inquiries. The shares were listed in New York, marketed and sold to U.S. investors, including Eton Park, a NY-based hedge fund and plaintiff, whose choice of forum is owed deference. U.S. courts have a strong interest in ensuring that foreign states acting as commercial players can be held accountable here.
   b. International Comity (Respecting Argentine Courts) – Standard of Review is Abuse of Discretion.
      i. Argentina's argument: U.S. courts should defer to Argentina's own courts to interpret its public laws.
      ii. Plaintiffs' reply: There is no parallel case in Argentina, and comity only applies when both jurisdictions are actively hearing the same dispute.
   c. What we heard at oral argument on FNC and Comity:
      i. Judge Cabranes repeatedly framed FNC as the threshold issue, yet pressed Argentina on the awkward timing (why now, after 10 years of litigation and a full bench trial?).
      ii. Judge Chin voiced comity concerns ("why here?") but acknowledged the late posture and the developed record—which weakens any prejudice showing.
      iii. Judge Robinson treated FNC/comity as distinct from the merits, but did not identify concrete prejudice.
   d. Litigator's views: The FNC argument is extremely weak, despite the recent headlines pushing this narrative. Even if the three-judge panel disagrees with Preska, it's irrelevant. FNC and international comity are reviewed for abuse of discretion, and—because this is post-judgment—Argentina must show substantial prejudice to overturn Preska's decision (e.g., unavailable witnesses or critical evidence, neither of which occurred). Thus, appeals courts rarely overturn a lower court's FNC denial ruling, where Argentina must show "substantial prejudice" (such as missing witnesses or evidence) before applying the abuse of discretion analysis. None was shown. The Comity argument is also weak given lack of parallel case in Argentina.
   e. **Probability of Plaintiffs' success: 90%.**
2. **Merits Under Argentine Law / Contract** – Standard of Review is De Novo.
   a. Issue framing: Breach of contract under Argentine law: The panel must decide whether the 1993 IPO bylaws create enforceable bilateral obligations to minority holders that survive the 2012 expropriation of Repsol's shares.
   b. Argentina's arguments:
      i. The bylaws are corporate governance rules, not a contract enforceable by shareholders for money damages. Article 28 of Argentina's Constitution and its YPF Expropriation Law make this a public-law issue—Argentina can't be sued for enforcing public policy.
      ii. Even if a breach of contract suit were permissible, Argentine courts would not award damages because the bylaws include an express penalty (YPF was supposed to strip Argentina of shareholder rights).
      iii. Plaintiffs failed to show that a specific performance was impossible, thus claims for damages are barred.
   c. Plaintiffs' reply:
      i. The Second Circuit already mentioned in the earlier 2018 appeal that the bylaws are a contract, and Argentina explicitly agreed to them in 1993 to attract U.S. investors.
      ii. Article 28 does not cancel private obligations—Argentina could have both expropriated Repsol and honored the buyout promise to minority shareholders.
      iii. Even Argentina's own experts admitted parts of the bylaws function like a normal bilateral contract.
      iv. Argentine Energy Secretary in February 2012, in calculating the expected cost of the expropriation, references the prices of the required tender offer in dollars and points out that in order to comply with the bylaws, Argentina would be required to pay $11 to $14 billion to complete the takeover.
      v. Both Repsol and Petersen properly tendered for ADRs on NYSE at a calculated 30% premium when they acquired shares, in accordance with the bylaw provisions.
      vi. Preska emphasized the Second Circuit's 2018 reading that the bylaws bind Argentina and triggered a tender-offer duty.
      vii. §7(h) restricts share rights of shares acquired in breach and imposes no money-payment obligation; however, Petersen/Eton Park's shares were not expropriated, therefore, this specific §7(h) remedy (which didn't even occur) does not relieve Argentina of the tender-offer duty to minority shareholders.
   d. What we hard at oral argument: Judge Robinson drilled on source-of-law hierarchy (public v. private) and the exact bylaw promise, testing whether §7(h) is a corporate-governance tool versus a limit on damages.
   e. Litigator's view: strong ground for Plaintiffs under de novo review: the bylaws function as a contract enforceable under Argentine civil law, and the Article 28 channel does not extinguish separate contract claims—a framing consistent with the Second Circuit's prior take on these bylaws.
   f. **Probability of Plaintiffs' success: greater than 80%.**
3. **Damages, Timing, & Currency** – Standard of Review is a mix of Abuse of Discretion & De Novo.
   a. Argentina's argument:
      i. If damages exist, they must be in Argentine pesos, not U.S. dollars, and should be valued as of the judgment date (which significantly reduces the damages given 13 years of peso devaluation).
      ii. Prejudgement interest should follow Argentina's administrative law rate (~0.76%).
   b. Plaintiffs' reply:
      i. The shares traded in dollars on the NYSE, and prior tender offers were dollar-based.
      ii. 2012 Argentine Energy Secretary memo showing projected the cost of complying with the bylaws at $11–14 billion, calculated in dollars, not pesos. This showed that Argentina itself "understood its tender obligations as dollar-based." Argentina avoided a full expropriation (targeted 51%) precisely because complying with the dollar tender would have been too costly.
      iii. Under New York law, currency is valued on the breach date, not judgment date, and interest runs from the moment of breach—otherwise the wrongdoer benefits from delay. Courts won't put a decade of delays on the plaintiffs—it's the defendant who dragged this out thus the defendant should be penalized.
      iv. The applicable interest rate (6–8%) reflects a commercial transaction, not a public law claim in an administrative court.
   c. What we heard at oral argument:
      i. Judge Robinson: "If they made a timely tender offer in pesos… would that transaction have been essentially converted into dollars for the ADRs?" Robinson then confirmed that the pesos-to-dollars conversion, if any, "would have happened then [in 2012], not 15 years later."
   d. Litigator's view: Argentina's §27(b) argument is a narrow exception (IF payment obligation is specified in foreign currency, then use judgement day) that does not fit these facts—supporting SDNY's breach-date approach. On the prejudgement interest rate, this as a commercial (not administrative) obligation, supporting 6–8% (or

higher) prejudgment interest, and area extensively litigated during the bench trial.
   e. **Probability of Plaintiffs' success: greater than 80%.**
4. **YPF's Role** – Standard of Review is De Novo
   a. Issue framing: SDNY dismissed YPF's liability because the bylaw language was "passive" (meaning YPF was not specifically instructed to strip Argentina of shareholder rights).
   b. YPF's argument: Under Argentine corporate law, shareholders, not the company, control quorum/voting at meetings and that multiple Argentine-law mechanisms (e.g., Articles 251/254) existed for shareholders to challenge votes/resolutions against Argentina (not to impose damages on YPF).
   c. Plaintiffs' argument:
      i. Plaintiffs argue §7(h) obliged YPF to withhold votes/dividends when the triggering shareholder didn't tender; YPF's failure was an independent breach.
      ii. The voice is passive because it's so obvious that the only party in the bylaws that has powers to strip voting rights is YPF. Argentina won't strip itself of rights.
      iii. Analogous to company committing fraud and then shirking responsibility of the fraud to the controlling shareholder, who was ostensibly pulling the strings. Nonsensical situation to avoid fault.
   d. What we heard at oral argument:
      i. Judge Robinson: asked about the mechanics of how exactly YPF could have stripped shareholder rights.
   e. Litigator's view: This issue could go either way, but it's minor relative to Argentina's liability. Even if YPF is not reinstated, Argentina alone should still be on the hook.
   f. Probability of success: ~60% (not material to overall case, but would benefit collections effort and spare plaintiffs from pursuing alter ego litigation).

Review of Briefs Filed in Second Circuit Appeal

1. **Jurisdiction – *VERY STRONG FOR PLAINTIFFS, ACROSS THE BOARD***
   a. Forum Non Conveniens (Standard of review is abuse of discretion and will not be reversed absent substantial prejudice (a consequential error such as admitting or excluding key pieces of evidence)).
      i. Error to rely on plaintiff choice of forum: Claim Eton Park was sole NY connection. Rebuttals: YPF shares were marketed to US and NY investors, NY traders, NYSE listing, criminal investigation of Petersen's counsel, both plaintiffs joined Repsol's 2012 putative class action in 2012, problems arise from splitting the same case, Petersen owned ADRs, NY-based collateral account, and NY-based foreclosure. Strong New York nexus.
      ii. Error in balancing of public and private interests: Certiorari—US and NY have strong interest in ensuring foreign states in US markets as commercial actors do not have immunity from litigation.
      iii. Prejudice against Argentina: recall the evidence that Arg filed (well after evidentiary window).
   b. International Comity (Standard of review is abuse of discretion)
      i. Different body of law allowing for deference to states deciding application of their own laws. Republic argues court should have used 3-pronged test (argues that Arg has strong interest in exercising jurisdiction and the issues are governed by foreign law; Arg court as forum is adequate; US has weak interest in the case). Rebuttals: there must be parallel case in Argentine court to consolidate via comity—and there isn't one.

2. **Breach of Contract / Arg Law (Standard of review is de novo) – *STRONG FOR PLAINTIFFS, ON SOLID GROUND.*** *IF NOT, REMAND TO BACK TO SDNY FOR CONSIDERATION OF FRAUD ARGUMENTS. IF THIS IS NOT BREACH OF CONTRACT, THEN IT'S FRAUD. US LAW AND ARG LAW ARE CONSISTENT HERE.*
   a. Argentine Corporate Law Does Not Recognize a Shareholder Breach-of-Contract Claim for Damages. Republic raises Article 1138 of Civil Code, which says contracts must be bilateral w/ reciprocal obligations, not plurilateral, thus should be Arg Public Law (GCL rather than Civil Code). Rebuttals: Arg's own expert agreed that part of bylaws act like regular bilateral contract and thus not Public Law. 2nd circuit already said bylaws are a contract that can be breached. Bylaws written by Arg, instructed YPF to accept. Arg made express promise to US / NYSE shareholders. Arg cites Capital Markets law, but this is used for statutory obligations, not contractual (also, it was not enacted until 2018, and not raised in lower court, thus it's inadmissible).
   b. Even If a Breach-of-Contract Suit Were Permissible, Argentine Courts Would Not Award Damages.
      i. The Bylaws' express penalty clause bars plaintiffs' claims for damages. Arg argues that, based on Arg Civil Code Article 652-655, if penalty is specified, damages not allowed (only specified penalty). Arg claims bylaw Section 7(h) specifies shares acquired in violation of tender-offer be stripped of their rights (voting, divs, etc.). – Rebuttals: i) clause 7(h) is directed to YPF, rather than Argentina, and simply strips improperly acquired shares of rights they'd otherwise have, and does not have as its object either the payment of money or any other performance, thus it's not a penalty clause under Article 653 and cannot substitute for Plaintiff's right to seek damages; ii) 7(h) in no way relieves Arg of its tender-offer obligations, it rather imposes obligation on YPF to ensure that shares acquired in breach of bylaws are stripped of rights; iii) YPF's own expert wrote that a "stipulation that consists of the loss of rights or reprimands on the debtor is not a penalty clause"; iv) in any event, YPF refused to actually enforce this; v) exclusive remedy doesn't apply if breach is willful or malicious, and Arg was clearly both.
      ii. Plaintiffs' failure to show that specific performance was impossible bars their claims for damages. Arg claims that the order of Article 505 Civil Code ("permits nonbreaching party to seek the following remedies: i) performance from breacher, ii) performance from third party, iii) damages) only allows for remedies in that listed order. Similar claim that Article 889 makes specific performance mandatory. Rebuttals: nothing in 505 supports this. 889 also says when specific performance is impossible due to the fault of breaching party, damages remain an available remedy.
   c. Under Argentine Law, Plaintiffs Were No Longer Shareholders When the Supposed Breach Occurred.
      i. Same argument as before: Arg claims breach occurred in 2014, after plaintiffs had been stripped of shares. Rebuttal: 2 nd Circuit already recognized that bylaws did not turn on technicalities of title, by required tender if "by any means or instrument" Arg becomes owner or exercises control.
   d. Argentina's General Expropriation Law Separately Forecloses Plaintiffs' Claims.
      i. Argentina's General Expropriation Law required plaintiffs to seek compensation through the expropriation process and the district court misconstrued Argentina's General Expropriation Law. Arg argues that plaintiffs cannot interfere with sovereign acts. Rebuttals: Plaintiffs are not challenging expropriation. 2nd Circuit already stated that there's no basis that Arg could not have complied with both YPF Expropriation Law and bylaws tender offer. Also, there clearly was no impediment to Argentina expropriating the shares—it already happened, over a decade ago.

3. **Damages (Standard of review: mix of abuse of discretion and de novo) – *VERY STRONG FOR PLAINTIFFS.***
   a. Currency Conversion: Breach Date versus Judgement Date. Arg claims DC made mistake of applying NY currency conversion rule at breach vs judgement, citing judiciary 27B. Rebuttal: 27B is actually a narrow exception that says IF payment obligation is specified in foreign currency, then use judgement day). Default is actually breach date. From the moment you breached, you owe interest. Damage didn't start when I filed the case and when the court agreed with me. Courts won't put a decade of court delays on the plaintiffs—it's the defendant who dragged this out, thus the defendant should be penalized.
   b. Pre-Judgement Interest Rate: If public law issue, it goes to public law courts in Arg (where interest rates are much lower). If commercial law, 6-8%, sometimes higher. Doesn't matter that Republic is sovereign, it was acting as purely commercial actor. – This will stand.

4. Petersen argues that Promissory Estoppel was erroneously dismissed as duplicative (to contract breach) – promissory estoppel is typically duplicative of breach of contract, brought up in the alternative to a breach of contract. Preska dismissed as duplicative because the breach of contract was allowed to move forward. Basically, if the court finds that Argentina or YPF was not contractually bound by the tender offer provisions (which the district court concluded with respect to YFP), then estoppel should provide alternative basis for holding YPF to account.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Catalyst(s): decision by the U.S. Court of Appeals for the Second Circuit in the YPF appeal.

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Messages

Subject Earnings power ex Argentina
Entry 11/08/2025 02:25 PM
Member SamPR

2024 and 2025 YTD reported results don't support the notion that normalized EPS (ex Argentina) is > $1.00.

2024 was 0.66 and 2025 YTD is 0.45.

I know the April investor presentation calls for higher earnings power, but evidence in audited financial statements has been lacking.

You wrote: "the COVID-induced court backlog has masked the underlying earnings power of the core business in recent years." I understood that the court backlog had mostly cleared by January 2024. In fact I expected that clearing that backlog would result in higher earnings during 2024 and 2025. It didn't happen.

What's your evidence that the COVID backlog continues to affect profitability and that $1 in ex-Argentina earnings will be shortly revealed as "normal"?

Subject YPF really free? / returns
Entry 11/08/2025 10:31 PM
Member durableadvantage

They are overlevered if they lose YPF. You also could have an employee retention issue. Therefore hard to say YPF is free.

I think they aren't buying back stock because they don't believe YPF is free and/or likelihood of winning isn't 80%+. They explained on their earnings call they need to invest in cases to be able to pay back the debt - a somewhat strange answer that I think admits the above.

Do historical averages related to judges being overturned on appeal matter as much in a case with gigantic damages and severe geopolitical consequences? And isn't the Supreme Court more likely to take the case now given the gravity of the situation? I agree seems like Petersen likely wins, but not sure about odds >80%.

Can you cut through the accounting noise and actually prove out an attractive ROE? $1.00 eps would be >25% ROE on tang book ex YPF. Management's low/mid-case model ROE suggests more like $0.60-0.80 EPS. Reality is they would need to shrink the book to pay down debt. And of course they are struggling to hit model returns.

Subject YPF
Entry 11/09/2025 02:41 PM
Member JackBlack

What is the likelihood of BUR collecting on the YPF damages, if it wins?

Subject Questions
Entry 11/10/2025 07:37 AM
Member Supernova

Hi zbeex - thanks for contributing the pitch and to the Burford VIC library. A few questions.

1) Tangible BV ex-YPF is ~$4.00. Why shouldn't that be considered a realistic downside?

2) I've always struggled estimating a normalized ROE for Burford. Historical returns are all over the place, partly due to the nature of the business and part due to COVID, but ROE has averaged ROE ~11-12%. My approach is simply to use the $4.00/share in TBV and apply a normalized ROE. But I'm struggling with what a normalized ROE is. Can you show me the approach you take to get to 25%? I presume that's just using company guidance. If so are their assumptions reasonable? Is it a fully loaded return, including corporate, SBC, taxes, etc.?

2) Do you worry about the DOJ getting involved in the YPF case? Is it still possible for the DOJ to file a brief in support of Argentine?

3) Regarding the meat packing case, what is the timing of these cases? Do we know how much FV is recorded on the BS for these cases?

Thanks - Supernova

Subject Re: Earnings power ex Argentina
Entry 11/10/2025 03:47 PM
Member zbeex

Thanks, SamPR. My contention isn't that 2024 and 2025 YTD GAAP results support normalized EPS of > $1.00—it's that there were lingering court delays that impacted durations and the business should earn much higher GAAP EPS in the future than it has in the past several years. On the backlog, my understanding is that the courts first focused on improving clearance rates of criminal cases, and only later addressed the civil case backlog. With respect to federal civil statistics, in US Federal courts the number of pending civil cases remained materially elevated (~70% higher than 2019) until late 2024/early 2025 when an exceptional number of terminations occurred (from settlements, in part driven by imminent trial dates, and dismissals). By March 2025, there were 398,121 federal civil cases pending, still up ~9% from 2019, but arguably normalized. The improvement has begun slowly flowing through to realizations at Burford, although this has been fairly episodic, which is why the company is pointing towards trailing 3-year realizations.



So as the company continues ramping realizations and deployments, in an effort to double the portfolio by 2030, there should be improved operating leverage and real GAAP earnings. My view is this should be at least partially achievable as Burford currently only funds about 5% of cases they initially screen (and only 2% of all inquiries/opportunities).

Subject Re: Earnings power ex Argentina
Entry 11/10/2025 04:12 PM
Member zbeex

One final stat on judicial velocity: in 2019, the median time interval from filing to disposition of civil cases in US District Courts was around 11 months. As of June 30, 2025, the median was 22.5 months.

Subject Re: Re: Earnings power ex Argentina
Entry 11/10/2025 06:15 PM
Member nola18

Just to chime in here with my 2c, as I also think that the risk reward from these prices is pretty exceptional

The write up does a great job summarizing the arguments from the YPF oral appeal, but I think its worth dwelling on one point. While I'm not a lawyer, its pretty shocking to me that the market reacted so negatively to the questioning, as I think being overturned on FNC is extremely unlikely (which is why Argentina decided to tack all the other arguments and claim FNC wasn't their main objection). In my view the real question comes down to can a bi-lateral contract exist within corporate bylaws. The SDNY effectively said while bylaws are generally plurilateral (which the court "assumed without deciding"), which could not be the basis for a contract, just because a bi-lateral obligation is found within bylaws, that does not automatically make it plurilateral. TBD on how the 2nd circuit views this. A secondary more remote risk is if the 2nd circuit now decides that the tender offer is an encumbrance on the expropriation, rather than a separate commercial obligation (the 2018 2nd circuit ruling, while very strongly worded and favorable to Burford, was a ruling on the claims of the case not the merits).

On the normalized earnings power here, and how a court backlog may play into that. Broad statistics aside... Of Burford's ~1.7bn in deployed cost you have a situation today where roughly half that deployed cost is sitting in 2015-2019 vintages (10-6 years old cases). On top of that you have a further 10% of deployments that are in the protein antitrust claims where Burford is in the driver's seat and at this point is actively saying no to settlements/monetizations. In fact, JBS/Sanderson is suing Burford right now to force them to take payment on their settlement with Sysco, which we found out earlier this year was a $50m settlement... This alone would value the Sysco claim at ~$250 million (again using a number Burford deems far too low)

The ROE numbers, and BVPS ex- YPF numbers, will change in a hurry as these older vintages begin to flow through as >50% of gains are not taken until final realization and these older claims are likely to have above average ROIC as most of Burford's investments have time based protections

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Subject Re: YPF really free? / returns
Entry 11/10/2025 08:46 PM
Member zbeex

Thanks, durableadvantage. 1) If YPF is a zero (unlikely), Burford will be left with a portfolio of $1.7bn of deployed capital, definitive commitments of up to $1.1bn, which combined, at a discounted 1.8x MOIC would result in $5bn of proceeds to service $2.2bn in gross debt, so it seems as though leverage is manageable. At the April Investor Day, the Company showed their internal probabilistic modelling expects 2.6x MOIC, but management haircuts by ~20% to 2.1x MOIC guide due to recently elevated settlement trends. I discount further from there. If the Second Circuit fully reverses Preska's ruling, I would expect Petersen to pursue an ICSID claim based on the Spain-Argentina Bilateral Investment Treaty.

2) I thought management made it clear that they are not currently repurchasing shares because a) they seek to maintain conservative leverage, and, b) instead of engaging in a $200m buyback today, they would rather compound that capital to cover a $400m maturity in 2028 or a $675m maturity in 2031. That said, management seems open to dialogue on this point—if realizations continue ramping and deployments don't keep pace, they would have excess liquidity to support the shares on the open market.

3) The magnitude of damages is a red herring that Giuffra, Argentina's counsel, cries about at every possible opportunity. The number is large because the damage Argentina/YPF inflicted was enormous (recall, the 51% owner Repsol sued for +$10bn, and settled for ~$5bn in 2014). And consequential damages are roughly doubled because the breach occurred over 10 years ago, thus prejudgement interest is an attempt to compensate for the perpetual delaying tactics.

The number seems large, but remember, in reality Argentina would settle for less than half of the face amount. Additionally, for context: a) Argentina owns 51% of YPF, worth $7.3bn today, b) Argentina sits on Vaca Muerta (16bn barrels of recoverable oil and 200trn cubic feet of shale gas), and c) Argentina's GDP exceeds $600bn.

On the geopolitics, Trump clearly likes Milei. That doesn't change the facts of the case. SCOTUS reviews cases if there are circuit splits, constitutional questions, precedential value, or national significance (i.e. affecting a large number of people or a major area of law). None of these apply here. SCOTUS doesn't take up cases because they have large damages. Also, the base rate is instructive: 1% of certioraris are accepted. SCOTUS declined to hear the Argentina FSIA certiorari in 2019, under a Trump-appointed solicitor general. Lastly, Trump's view is the United States should come first, and that includes our capital markets.

4) I'll attempt to cut through the accounting noise. Let's assume Burford funds half of its definitive and discretionary commitments on current cases. Deployed capital less YPF deployed cost plus 50% of incremental commitment totals to $2.5bn. Achieving 2.1x MOIC at 20% IRR equates to 4 years of duration. Based on slide 100 of the Investor Day deck, about half of revenue is recognized prior to conclusion of the asset through fair value write-ups. This means of the $2.8bn of gains over the 4 year period, $1.4bn will be realized in the first 3 years (so $460m/yr), and the remaining $1.4bn would be booked in the fourth year, the year of realization. This is directionally accurate, as the past decade of core Capital Provision Income (ex-YPF) as a percent of core Capital Provision Assets (also ex-YPF) was ~17%/yr, and the 5 years pre-covid averaged 20%. Using the illustrative slide 118, on ~$460m of Capital Provision Income, we add ~$53m of BOF-C profit share ($661m of assets, assume 20% IRR and 40% profit share). Less $322m of OpEx, LTIC, net interest expense, and taxes, and the result is $193m of Net Income, or $0.87/share of EPS. This equates to 23% ROE (on book value of equity ex-YPF), which is in the ballpark of what the Burford put out. It's important to note that YPF, even in a full reversal in the second circuit, would not be written down to zero, because the case would still have value. Let's assume a 90% write-off, which gets you to $1.0bn of equity, and an ROE in the above case of 18%. Another way to triangulate is to look at Proceeds as a % of Deployed Cost, which has averaged 45%/yr for the past decade, roughly half of which should be a gain (based on 2x MOIC). A final way to triangulate is the chart included in my write-up: assume Capital Provision Assets (ex-YPF) generate 23% IRR, you arrive at over $1.00/sh of EPS. ROE on book value of equity (on an YPF loss / 90% write-down) would be 23%.

The company had a ramp in settlements in the past year or so, which is consistent with federal circuit court statistics, so of course returns came in below initially modeled. A higher proportion of cases settling meaning fewer go to trial, where Burford realizes its big, asymmetric wins.

Subject	Re: YPF
Entry	11/10/2025 09:50 PM
Member	zbeex

Thanks, JackBlack. It is tough to say with specificity the likelihood of collecting against Argentina but my views are: 1) the name of game for large judgements is to apply pressure via legal nuisance strategies in order to bring the defendant to the negotiating table. After speaking with numerous experts in the field of asset tracing and recovery, we believe there may be potential to disrupt access to capital markets, hinder IMF support, as well as target Argentina's large state-owned enterprises (see SDNY discovery of alter-ego relationships and the SDNY Turnover Order, whereby Judge Preska ordered Argentina to turn over its 51% share of YPF to BNY Mellon in New York; this has been stayed pending appeal in the Second Circuit, but is instructive). 2) Political backchanneling is important. Burford has been known to engage lobbyists to build support among local politicos, and Javier Milei in the past has stated a willingness to settle final claims (perhaps with a Kicillof tax). 3) In early April 2025, it was reported in the IMF's Staff Report that negotiations were underway to define Argentina's repayment schedule to claimants owed $1.5bn from investments in Argentina's Euro-denominated GDP warrants. While unrelated to the YPF lawsuit, this does show the IMF cares about Argentina addressing its non-contingent liabilities (including final, non-appealable judgements) to support market its re-entry. 4) Burford is as qualified to pursue this as any firm on earth. Burford has an in-house specialty team focused on international asset tracing and recovery (this is also a standalone offering). To illustrate typical tactics, in the 2018-2021 Akhmedov Case, BUR's team enforced a UK divorce judgement by harassing assets of the defendant. They seized a helicopter in Turkey, had bailiffs from a Dubai court impound a mega-yacht, and were rumored to have hired former British military to potentially seize the yacht, ultimately forcing the defendant to settle. Lastly on this point, Burford's Argentina enforcement team has been actively engaged, tracking foreign assets for 10 years at this point, building a cache of potential legal actions. Several years ago, Burford hired Kobre & Kim as specialty counsel that is a well-known specialist in in attaching foreign assets, asset collection, and settlement negotiations. See some of their work here. 5) there are a few true pariah states from which collections are virtually impossible. Argentina is not one of them—it has settled disputes with foreign commercial parties in over 18 cases over the past 20 years given its reliance on international trade and access to global capital markets. And 6) at the current share price, my view is we are not paying anything for collection probability.

Subject Re: Re: YPF really free? / returns
Entry 11/10/2025 09:54 PM
Member JackBlack

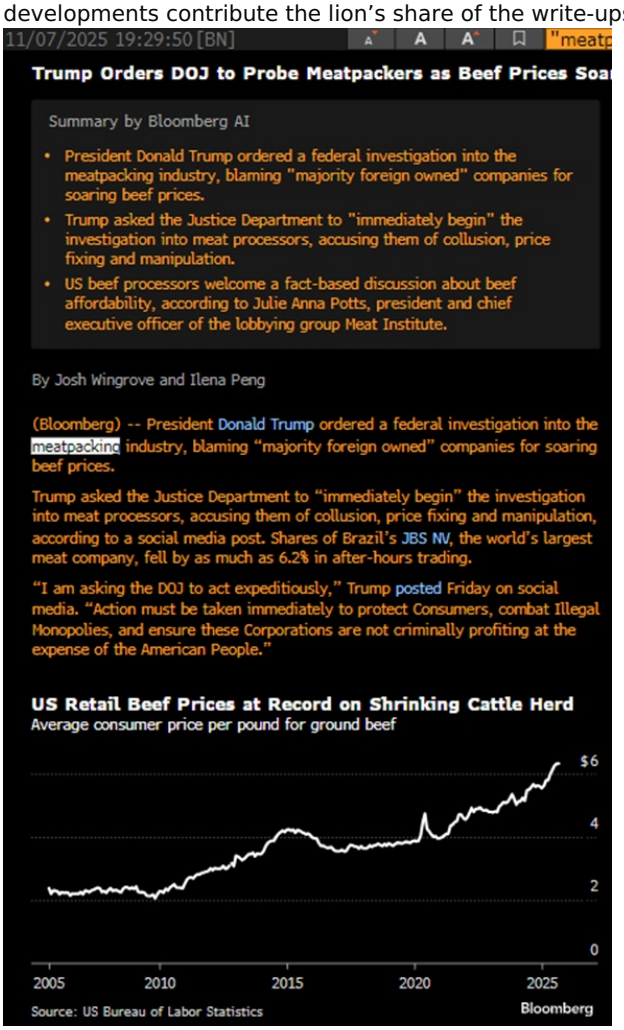
@zbeex, I'm not sure if you were attempting to answer my question in 3) above, but I still don't understand. Winning a final judgment against Argentina is one thing. Actually collecting dollars from Argentina is an entirely different matter. How do you think about this? While you make good points about the value of the other cases, this one really isn't that interesting unless BUR recovers a large amount on this Argentina case.

Subject Re: Re: Re: YPF really free? / returns
Entry 11/10/2025 09:55 PM
Member JackBlack

Apologies, **** You literally replied while I was typing my message to you. Thank you for the response!

Subject Re: Questions
Entry 11/10/2025 10:44 PM
Member zbeex

Thanks, Supernova. A library indeed—I tried to differentiate by focusing on the legal debate in the Second Circuit. To answer your questions: 1) I suppose you could make an argument that the downside, in the event of a full YPF reversal in the Second Circuit and a 100% write-down, could be $4/share. My view is for a leading business (albeit in a niche space) with potential for ROE of +20%, the book value of the core business should trade well in excess of 1.0x. Obviously large asset management peers are different businesses with greater TAMs, massive allocations from SWFs and the like, but they trade at 2-3x book and 15-30x PE. 2) On the EPS / ROE, please see my response to durableadvantage. It's fully loaded with SBC, taxes, etc. 3) The DOJ could in theory file a brief in support of Argentina. That said, none of the three judges in the Second Circuit overseeing the appeal are Trump supporters and none of the three are contending for a SCOTUS appointment by Trump. Therefore, unless the DOJ has legitimate arguments, a statement of interest would likely fall on deaf ears. Lastly, I think the DOJ would have already filed a statement of interest by this juncture—it's been nearly 2 years in the second circuit. 3) On the timing of meatpacking—I will have to revisit this. I believe pork is up first (trial set for May 2026) and then Turkey (CIIPP's trial set for October 13, 2026, and I would expect DAP-side negotiations to heat up after this verdict / before a DAP trial is set). It's impossible to tell how each individual case is marked. Afterall, there are hundreds of cases and for confidentiality, Burford doesn't disclose who they back. We know that the Principal Finance (f/k/a Burford-Only) Deployed Cost of $1.7bn (ex-YPF) has had $541m of fair value write-ups over the years, resulting in $2.2bn if Capital Provision Assets (ex-YPF). The larger and more mature cases that have experienced favorable legal developments contribute the lion's share of the write-ups.



Subject Re: Re: Re: Earnings power ex Argentina

Entry 11/14/2025 02:17 PM
Member bigvic

Agree w/zbeez and nola18, my 2c:

1. I see > $1 of LTM Cash EPS excluding YPF. Below = $251mm / 219mm shares = $1.15.

BUR-only x-Private Funds Realizations ($536mm) + Asset Mgmt Income ($36mm) - OpX ($168mm) - Int Exp ($109mm) - Taxes at 15% ($44mm)

2. Implies BUR trading for ~7.5x Cash EPS x-YPF. 16x P/E = > $16/sh FV x-YPF.

3. I think P/BV is flawed/too hypothetical if a growing business. Not to get to CFA here, but P/BV = (ROE - growth rate) / (discount rate - growth rate). So based on below assumptions, then would imply (20% - 7%) / (10% - 7%) = 4.33 x $4/Sh = > $16/sh FV x-YPF.

$1 EPS / $4 BV = 25% ROE but haircut to 20%. BV grown 14%/yr past decade so haircut 50% to 7%. Standard 10% discount rate.

Subject Re: Re: Re: Re: Earnings power ex Argentina
Entry 11/14/2025 02:48 PM
Member nola18

For the FCF calculations, you should only be using the realized gains, not total realizations. The realized cost, or the principal, is effectively your maintenance capex. You need to recycle that capital in order for your book to stay the same size.

Subject Good News on Meatpacking Cases
Entry 02/06/2026 06:27 AM
Member zbeex

As a reminder, Burford was challenging the settlement entered into by Sysco as too low. The federal appeals court just found in Burford's favor.

Sysco and Pilgrim's Pride $50 Million Settlement Nixed on Appeal

By Quinn Wilson
(Bloomberg Law) -- A $50 million antitrust settlement between Pilgrim's Pride Corp. and Sysco Corp. was overturned Thursday after a federal appeals court found several material terms were unresolved when the parties agreed to settle. "If material terms—terms either party deems essential—are left open to future negotiations, an initial agreement in principle cannot be binding for an entirely executory contract like this proposed settlement agreement," Judge David F. Hamilton said for the US Court of Appeals for the Seventh Circuit, reversing a district court's grant of summary judgment to Pilgrim's Pride.
The case stems from broader antitrust suits alleging Pilgrim's Pride engaged in price-fixing in the broiler chicken industry, which are chickens bred and raised specifically for meat production. The disputed settlement aimed to resolve Sysco's claims against Pilgrim's Pride in three separate antitrust cases involving chicken, beef, and pork.

Burford Capital Ltd. has invested more than $140 million in Sysco's price-fixing cases. After resolving a dispute between Burford and Sysco over alleged meddling from the funder, Sysco assigned its claims to Carina Ventures LLC, a Burford subsidiary. Burford challenged an Illinois federal judge's summary judgment ruling that Sysco agreed to the "heart" of the deal in email communications and draft documents.

The Seventh Circuit identified four material terms that remained open at the time of the supposed agreement: compliance with a judgment sharing agreement; the volume of claim assignments; a "most favored nation" clause; and the allocation of the settlement sum among the three cases. "It 'defies logic' that a party would agree to enter a settlement agreement of this magnitude based on three emails with only two material terms," Hamilton said. Hamilton rejected Pilgrim's Pride's argument that later draft agreements could fill in material blanks, stressing that material terms must be definite at the time of the supposed agreement.

Judge Frank H. Easterbrook joined the opinion.

Judge Nancy L. Maldonado highlighted the procedural irregularities in how the case reached the Seventh Circuit in a concurring opinion. The judge noted that the district court never analyzed the enforceability of the settlement under summary judgment standards. "All of this is concerning, and perhaps a preferable approach would have been to remand to the district court to conduct the proper summary judgment analysis in the first instance," Maldonado said.

Kellogg, Hansen, Todd, Figel & Frederick PLLC and Seeger Weiss LLP represent Carina Ventures. Quinn Emanuel Urquhart & Sullivan LLP represents Pilgrim's Pride.

Subject Re: Good News on Meatpacking Cases
Entry 02/06/2026 12:28 PM
Member acm2025

I (unlike you) think they are going to get hurt at the 2nd Circuit (though I wouldn't bet on it) and then suspect I will like the company quite a bit on these antitrust cases after they take that loss.

These antitrust cases are quite lucrative in the right hands.

Subject Track record and management culture
Entry 03/04/2026 11:01 AM
Member SamPR

Stock is getting attractive here near 0.8x P/B.

Nonetheless, I think it's somewhat clear that 20% ROE is a far-fetched. Not a lot of uncorrelated 20% ROE businesses with low leverage trade at 0.8x P/B.

10% ROE is also in question given they've only compounded TBVPS by 7.5% since 2018 (the year they raised capital at a big premium to tangible book), and that includes a huge write-up of the Argentina asset, which may not be a repeatable home run.

The biggest flag for me is that the company is in a period of delivering very mediocre returns (especially ex-Argentina), and all they can talk about on their conference calls is how great the economics of their business is. 80% ROIC! They very rarely reference things like earnings per share or FCF per share (in fact they didn't mention EPS once on the last conference call!). Their business model is awesome, returns are awesome, and yet book value per share doesn't grow unless they win against Argentina.

I'm sure it is an attractive business for the managers, but not obviously for the shareholders. They should increase the dividend until they can prove they can deploy capital at higher returns.

Subject Re: Track record and management culture
Entry 03/04/2026 03:12 PM
Member nola18

FWIW... I would not agree that the 20% ROE target is off the table and I certainly would not agree that they should increase the dividend at the expense of growing the portfolio.

There is really only one thing going on here, which is fairly easy to understand in my opinion, and its having knock on effects for all the metrics you cite (ROE, TBVPS, etc.) ... and that is these legal claims are taking a lot longer than expected to be pulled through to completion. For example, in 2025, only ~$290m of deployed cost was pulled through. And of that, ~$100m related to a case that they only just originated in mid-2024. So a paltry $190m from older vintage claims. Given that Burford has put an average of ~$350m per annum in vintages going back all the way to 2015, and they have nearly $900m, or half of their total deployments at cost, sitting in 2020 and older vintages, that is really really not good

Irrespective of what happens along the way, Burford on average recognizes 2/3rds of total gain only at the final completion of the case. So without these realizations materializing it really impossible to get to the ROE targets. Doesn't mean it won't happen or that the model is broken, just means they need these claims to be pulled through.

Subject Re: Re: Track record and management culture
Entry 03/04/2026 03:35 PM
Member SamPR

Thanks for sharing your perspective.

Why will 2026 be different in terms of flow rate of cases?

2/3rds of the gain at completion? Does this math factor for lost cases (where gains along the way and even invested capital would have to be reversed and recognized as a loss)? Can you cite evidence that 2/3rds of the gains are recognized at completion? I could see it being 2/3rds given a win, but there will be losses too that have to be averaged in.

I understand that the accounting method assumes some return on invested capital to completion, and assets are written up along the way by this rate. I can see profit could be very high or very low (negative) at completion, but it's counterintuitive to me that it would average out to be 2/3rds of the gain at completion.

ROE hasn't just been low for one year -- it's been most of the past eight years, except 2023 with the exceptional result in the Argentina case. Slow courts has to be part of the return calculus at the time of underwriting a case.

Subject Re: Re: Track record and management culture
Entry 03/04/2026 03:44 PM
Member SamPR

Thanks also for sharing the math on capital deployed ($350m vs deployed capital coming back ($190m). Strange indeed.

Subject Re: Re: Re: Track record and management culture
Entry 03/04/2026 06:04 PM
Member nola18

SamPR,

I agree with you in a lot of respects. I'm frustrated with the results. However I can also sympathize with how management is feeling. I have followed the business for a very long time, and honestly, when I invested the thing I was most skeptical of was their ability to scale. They are hitting it out of the park right now on writing new business, and if you believe what they are saying, they are implying they are writing this business at a massive premium to historical results (1.6x vs 0.9x ROIC)

There is nothing to say 2026 will be different than 2025. It could be worse. That is the challenge here is that the courts move at the beat of their own drum. On the flipside, my view is that as time moves on it becomes increasingly likely you start to see supernormal realization years, where the larger recent years of deployments is layered on with older vintages finally being pulled through to realization. This on paper will create insanely good ROEs, that at that point, shouldn't be projected out into the future, rather just viewed as the ebbs and flows of the business.

If you go back, on 9/23/19 Burford gave a very comprehensive overview presentation on FV markup practices in response to the muddy waters report. In that report they noted that 33% of FV write ups were take prior to final conclusion on successful cases, and ~50% of FV losses were take on unsuccessful cases prior to final conclusion. Also noted that there was only 1 case in history where they had taken a FV write up which ended up resulting in an eventual loss.

Post becoming an SEC filer in 2022, the accounting has become a lot more complex, with the time value component introduced and then a "risk premium" component that unwinds based on case milestones. You can see the year end 2022 presentation for a good overview of this. In any case, they indicated there that under the new methodology, for cases that have write ups ~50% of FV roughly would be recognized beforehand, which when combined with cases that settle early and have no milestone would get you to a similar neighborhood as we have had before.

If you look at the most recent 10-K we can also see on pg 123 that ~45% of the deployments have no milestone and basically no write ups on cost (~$20m on $1bn). ~45% of the deployments have a milestone and are held at 1.7x on cost (which I think would pencil to roughly half of gains realized). then 10% of deployments that have had a negative milestone written down to 30c on the dollar

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Subject Re: Re: Re: Re: Track record and management culture
Entry 03/05/2026 08:16 AM
Member SamPR

Nola, thanks very much for the detailed reply! I appreciate your perspective and you've obviously done much more research than I have.

One follow up: why not increase cash return to shareholders? If I understand you correctly, you're saying management is writing new business at 160% ROIC vs. 90% historically. So prospective returns should be much higher. Well, at 0.8x P/B, the market is saying: "we don't believe you". If this were a normal asset manager, LPs would be pulling their capital after the last two years of performance (and they'd be able to do so at 100% of NAV, not 80% like current shareholders).

The right thing to do from a corporate governance perspective is to respect what shareholders are saying and buy your own stock at 80% P/B (or pay dividends). Any shareholder who believes the capital is being deployed at higher returns can just buy more BUR stock. But clearly the marginal shareholder here is expressing skepticism in the business.

Of course managers have an incentive to deploy more capital (empire building, bonus/carry, etc.). If I were in a meeting with them, I'd push them on being responsive to the share price. Please share any feedback if you have any reaction to this or if you've pursued this question with them.

Thank you!

Subject Re: Re: Re: Re: Re: Track record and management culture
Entry 03/05/2026 10:15 AM
Member nola18

SamPR, of course, and thanks for the kind note!

My view on capital returns is that as things stand today, it is not prudent to do a meaningful share buyback. Of course, if they survive the YPF appeal it is going to look like they missed a generational opportunity to buy back their own stock. However, if things go awry on the YPF claim the leverage position is going to be in a really uncomfortable place. The good news is they have termed out their debt really nicely over the last year or two, which should give the portfolio plenty of time to turnover and solve the debt issue organically if the downside scenario does come to pass

In addition, beyond the leverage, Burford is different than a normal investment manager in that their capital as actually the solution they are providing to their customers (law firms, corporates, etc.). I believe writing new business is a higher and better use for capital that dividends, but it is also important for maintaining relationships with the best customers

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Subject Appeal
Entry 03/27/2026 11:57 AM
Member NZ

Any opinion on the recent judgement re: YPE?

Subject Re: Appeal
Entry 03/27/2026 02:35 PM

Member ccless1

		ex-YPF TBV
current price	$ 4.43	$ 2.85
		1.6
	CoE	12.00%
	ROE	26.5%
	g	3.5%
	Justifed P/B	2.70

Hypothetical (Ex-YPF) Earnings Model			
IRR Assumptions	**20%**	**23%**	**26%**
Capital Provision Income	166,155	191,079	216,002
Asset Management Income	21,933	25,222	28,512
Interest	4,985	4,154	3,323
Total REV	193,072	220,455	247,837
OpX	(44,197)	(38,673)	(33,148)
	22.9%	*17.5%*	*13.4%*
Incentive Comp	(18,277)	(21,019)	(23,760)
	9.5%	*9.5%*	*9.6%*
Int exp	(29,359)	(28,863)	(28,367)
	15.2%	*13.1%*	*11.4%*
Pre-tax Income	101,240	131,901	162,562
Tax	(15,186)	(19,785)	(24,384)
NI	86,054	112,116	138,178
shrs	218.3	218.3	218.3
EPS	**0.39**	**0.51**	**0.63**
P/E	11.2	8.6	7.0
ROE	**16.5%**	**21.5%**	**26.5%**
Assets	924,473	908,857	893,241
Debt	402,172	395,378	388,585
Equity	522,301	513,479	504,656
Liquidity	93,697	78,081	62,464

This is my quick and dirty take on the value post judgment (assuming YPF is written completely off). Assuming the current portfolio doesn't deteriorate meaningfully, the earnings power seems reasonable - and now that its sold off, you basically are getting the business with a clean slate. YPF has always been hanging over Burford's head. Am i missing something?

Subject Re: Re: Appeal
Entry 03/27/2026 03:33 PM
Member abcd1234

I think the issue with YPF being a zero is that there is too much debt and they will trip their debt/equity covenant. I don't think any debt holders want to actually own this business so they should be able to get a waiver but I'm not sure how costly that will be. With a $400mm maturity in 2 years and debt trading in the 12-13% yield context, they will need to direct all monetizations to reducing the debt.

Subject Re: Re: Re: Appeal
Entry 03/27/2026 03:48 PM
Member ccless1

I don't think they have any maintenance covenants though-- I believe the maintenance covenant was on the bonds they just redeemed in January of this year while the remaining bonds have incurrence based covenants. So, there may be some operational friction but there's no solvency issue

Subject Re: Re: Re: Re: Appeal

Entry 03/27/2026 04:24 PM
Member bigvic

Correct, BUR only has incurrence covenant after redeeming 2026 bonds. Not an issue unless want to a pay dividend, acquired, or incur more debt. BUR has over $600mm+ cash and should start to generate FCF again this year. If cases continue to take longer resolve leading to less realizations/FCF, then likely just have to pay more for new debt/waiver.

Your hypothetical EPS seems low assuming those IRRs. BUR has $2.2b of BUR-only Capital Provision Assets x-YPF. So 20% x $2.2b = $440mm Cap Provision Income.

Few other thoughts....YPF case not automatically a zero & BUR will likely keep fighting, some believe here that protein cases alone could be worth near share price, & selling to large PE firm becomes more realistic if public mkts going to value YPF at $0.

Subject Re: Re: Re: Re: Re: Appeal
Entry 03/27/2026 04:39 PM
Member SamPR

I'm curious whether others think evaluating Burford's track record is relevant. I'm especially interested in their ability to compound TBV/share.

I think Buford raised capital in 2011 (at a premium to book), so that's a useful year to start an analysis.

If YPF is a zero and if CCLESS's assessment of TBV is correct at 2.85/share, we can see that TBV has compounded at 3.8% since 2011.

We could massage these numbers in a zillion ways (how much is YPF actually worth? Could we deduct our capital invested in YPF as if it had been dividended out? etc).

At a high level, i don't think any analysis will come out showing double-digit BVPS compounding. That being the case, I also don't think this thing will trade much above tangible book (apparently close to $2.85). Of course I could be wrong.

It'll be interesting to see how YPF is marked in Q1 financials.

Subject Re: Re: Re: Re: Re: Re: Appeal
Entry 03/27/2026 07:05 PM
Member SamPR

Sorry, I thought of another way the numbers have to be adjusted: they raised capital in 2018 at a premium to book value. That's inflating the 3.8% BVPS compounding since 2011.

Subject Re: Re: Re: Re: Re: Re: Re: Appeal
Entry 03/28/2026 10:18 AM
Member nola18

Hoping in here with my 2c

I don’t really follow ccless1 numbers at all. Maybe I’m misunderstanding but those figures don’t really map to Burford only figures

I’m closer to $3.6 in book value per share … $2.3bn in assets ex-YPF and $1.5bn in net debt. Incurrence covenants only

The debt is termed extremely well with 80%+ of the 2.3bn gross debt due 2030 or later.

business has been deploying $400m+ per annum for a while now… the numbers work at that level

they need realizations to actually follow through. With a few decent years of realizations they could easily add $1.5/share in BV per year from core portfolio

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Subject Re: Re: Re: Re: Re: Re: Re: Re: Appeal
Entry 03/28/2026 10:40 AM
Member nola18

Unlikely to happen, but this is also a unique business because it’s more like a PE FoF rather than a PE firm. People at Burford are generally not operationally involved at all, and you have $1.7bn in undrawn commitments that several years of future deployments with no incremental work needed.

an activist could get involved here like Elliot, and make a really nice MoC by firing everyone at Burford and running off the portfolio

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Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Appeal
Entry 03/28/2026 01:22 PM
Member bigvic

Is it unrealistic to think either an activist steps in to force a sale or management decides to run a sales process? Based on our 1x1 discussions w/mgmt, we don't believe they love managing a public company but YPF was a barrier to sell b/c an acquiror wouldn't pay close to the value of the $16b+ ruling. But YPF is no longer a barrier b/c the public markets is ascribing zero value. Large PE firms have struggled to break into the LitFi asset class, so I would think they'd have an interest in acquiring BUR given its low valuation, reputable brand, proprietary data, origination arm, and expertise. Plus, there remains free call options such as the protein cases and YPF (1 of 3 judges affirmed the prior decision and BUR has steps to appeal/arbitrate/etc).

When BUR's case resolutions normalize (which should start this year or at least next), the business should generate near $1/share of FCF. I suspect PE would be willing to pay much more than the current implied 4x.

I also think valuing this near 1x TBV is far too draconian given Capital Provision Assets x-YPF grown at 12% 7-year CAGR and normalized ROE is 15-20%.

Subject Simple Liquidation Value
Entry 04/02/2026 12:49 AM
Member apoatifar

Starting with the premise that management's assumptions for realisations from the current portfolio are reasonable, could someone point out what would be wrong with the following liquidation valuation? My number seems to be materially lower than some other estimates of fair liquidation value I have seen.

BUR 4/2/2026

Key Assumptions	
Portfolio Finance Assumptions	
Modeled Realisations	5200
Incremental deployment outflows	800
Total deployed cost	2500
Opex/year	100
Asset Management Assumptions	
Total Cash Receipts	350
Assumed Pre-Tax Margin	35%
Company Wide Assumptions	
Discount Rate	10%
ND less settlements	1333
Interest on ND	9%
DSO	219
Duration (years)	4
Tax rate	15%

Total Return	
Cumumlative Liquidation FCF	2674
(-) ND	1333
Implied Fair Liquidation Value	1341
Implied Liquidation Value/Share	6.12
Current Share Price	4.25
% of Liquidation Value	69.4%
Upside %	44.1%

Tax Math	1	2	3	4	Comments :
Cash Receipts	1300	1300	1300	1300	Mgmt. guided realizations / 4 (assumed liquidation period)
(-) Cost	625	625	625	625	Mgmt. guided deployed cost / 4
Net Gain	675	675	675	675	
(-) Opex	100	100	100	100	Conservative assumption of runoff opex/yr
(-) Net Interest	113	113	113	113	Conservative assumption of net interest expense per year
Taxable Profit	462	462	462	462	
Tax Expense	69	69	69	69	Assumed tax rate of 15%

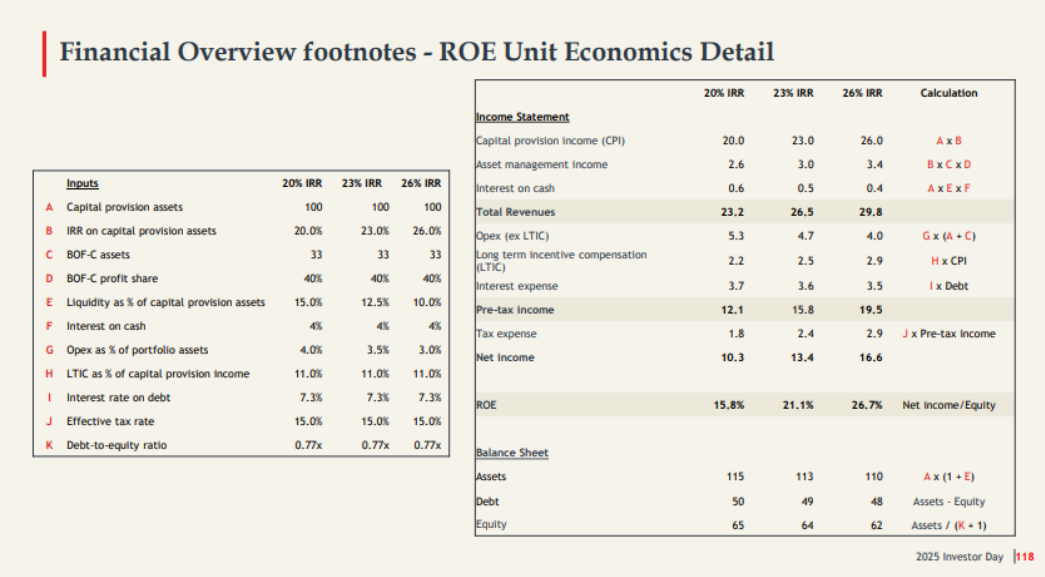
Cash Flow from PF	1	2	3	4	
Cash Receipts	1300	1300	1300	1300	
(-) Deployment Outflows	200	200	200	200	Current deployed cost = 1.7B, to get to the 2.5B deployed cost
(-) Opex	100	100	100	100	you have to assume 800mm incremental deployments over 4 years
(-) Net Interest	113	113	113	113	
(-) Tax Expense	69	69	69	69	
FCF	817	817	817	817	
Discounted	743	676	614	558	10% r
Discounted PV of PF	2591				

Cash Flow from AM	1	2	3	4	
Fee + Income Rev	88	88	88	88	Mgmt disclosed AM fee receipts / 4
Pre-tax Income	31	31	31	31	Assumed normalized pre-tax margin b/w '24 and '25
(-) Tax expense	5	5	5	5	
FCF	26	26	26	26	
Discounted	24	22	20	18	
Discounted PV of AM	83				

Some of the assumptions are definitely lazy - just assumed midpoint FY24 and FY25 pre-tax margin for asset management side of the business, assumed all settled realizations would be collected instantly (basically treated like cash), assumed it would take 4 years to runoff the portfolio (would definitely take longer, just wanted to pick something higher than their disclosed WAL), and assumed liquidation oepx would be 40mm below current PF non-interest expenses (since no new cases would need to be originated).

Subject Re: Simple Liquidation Value
Entry 04/02/2026 01:08 AM
Member apoatifar

Alternatively, if you take a simpleton approach to normalized earnings power and use below the low end of management's ROE unit econ (shown below). You get ~$320mm of NI in 2030. The math here is they want to double their portfolio base by 2030. While probably wrong (but biased conservatively), I assumed this to mean they wanted to double their non-YPF deployed capital amount by 2030. This implies $3.2B of deployed cost by 2030 (double 2024 $1.6B deployed cost). The math below implies at a 15% ROE, they make ~$10 of NI per $100 of deployed cost. This would imply somewhere in the ballpark of ~$320mm of NI in 2030. At a 10x multiple, the stock is an easy triple. Even if the below numbers are BS and we assume they make $5 for every $100 of deployed cost (~7.7% ROE) and they trade for 7x earnings you still make a small return. Assuming 15% is the right ROE number, their current deployed cost of ~$1.7B would imply a normalized NI of $170mm. This implies they trade for 5.5x 'normalized' (whatever that means for Burford) EPS.



Financial Overview footnotes - ROE Unit Economics Detail

	Inputs	20% IRR	23% IRR	26% IRR
A	Capital provision assets	100	100	100
B	IRR on capital provision assets	20.0%	23.0%	26.0%
C	BOF-C assets	33	33	33
D	BOF-C profit share	40%	40%	40%
E	Liquidity as % of capital provision assets	15.0%	12.5%	10.0%
F	Interest on cash	4%	4%	4%
G	Opex as % of portfolio assets	4.0%	3.5%	3.0%
H	LTIC as % of capital provision income	11.0%	11.0%	11.0%
I	Interest rate on debt	7.3%	7.3%	7.3%
J	Effective tax rate	15.0%	15.0%	15.0%
K	Debt-to-equity ratio	0.77x	0.77x	0.77x

	20% IRR	23% IRR	26% IRR	Calculation
Income Statement				
Capital provision income (CPI)	20.0	23.0	26.0	A x B
Asset management income	2.6	3.0	3.4	B x C x D
Interest on cash	0.6	0.5	0.4	A x E x F
Total Revenues	**23.2**	**26.5**	**29.8**	
Opex (ex LTIC)	5.3	4.7	4.0	G x (A + C)
Long term incentive compensation (LTIC)	2.2	2.5	2.9	H x CPI
Interest expense	3.7	3.6	3.5	I x Debt
Pre-tax income	**12.1**	**15.8**	**19.5**	
Tax expense	1.8	2.4	2.9	J x Pre-tax income
Net income	**10.3**	**13.4**	**16.6**	
ROE	**15.8%**	**21.1%**	**26.7%**	Net income/Equity
Balance Sheet				
Assets	115	113	110	A x (1 + E)
Debt	50	49	48	Assets - Equity
Equity	65	64	62	Assets / (K + 1)

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Subject baffling
Entry 04/02/2026 09:47 AM
Member Pursewarden

US in the process of trying to turn whole of LATAM from leftists to rightists (Bukele, Colombia, venezuela, Mexican cartels, cuba next etc etc). A successful and financially sound Argentina is core strategic priority of the US. Bessent literally provided them a 40bn backstop last year at the first sign of trouble. And people seriously thought a US court was going to approve YPF under this admin… to pay out billions to a UK listed smallcap… with a management team who are democrats…

Subject Re: baffling
Entry 04/02/2026 01:33 PM
Member JohnnyFinance

Pursewarden - I'm about as cynical as it comes, but I don't think the appeals court cares about any of those things. Purely on the legal merits, I think the appeals court got it right.

Market participants like to extrapolate Elliot's legal case here, but it is very different. Some Argentina bondholders had a contractual claim that they were allowed to bring individually (their bonds didn't have collective actions clauses) and the contract explicitly stated that New York law would apply. Burford's case was not an issue of contractual rights, but of Argentinean corporate law.

Subject Re: Simple Liquidation Value
Entry 04/05/2026 01:06 PM
Member bigvic

Seems reasonable. So liquidation value of ~$6/sh plus you get the go-fwd business for free. BUR's proprietary data, domain expertise, origination platform, and reputable brand shouldn't have a terminal value of $0/sh.

Subject Re: baffling
Entry 04/05/2026 03:00 PM
Member bigvic

Peanut gallery always sounds smart after the fact.

Subject buybacks?
Entry 04/22/2026 08:50 AM
Member UCB1868

Can/should Burford repurchase stock aggressively? Seems like the best use of cash at this valuation...

Subject Reasons We Exited
Entry 06/01/2026 05:08 PM
Member bigvic

We exited BUR after more calls w/mgmt b/c: 1) limited economic earnings/FCF for 5+ years & mgmt admits timing could always cause reported FCF to not match marketed 20%+ IRRs, 2) admitted case delays & limited visibility on realizations improving b/c judges preferring to take less complex cases & political warfare cases also often get preference, 3) unwilling to proactively run a strategic review & admitted very few logical acquirors, 4) co-founders continue to pay themselves a lot despite bad results which we think also makes their combined ~$80mm of equity ownership less impressive, and 5) if LTM results continue then we fear could be forced to materially cut deployments or face a liquidity crunch. Our exit may mark the trough and patience may be rewarded, but seems like banking on lot of hope. Just our two cents after being very wrong on this investment and hitting bad luck w/YPF.